

The Role of Discounts and Promotions in Shaping Consumer Buying Decisions

Department of Economics
Shahjalal University of Science and Technology

Authors (G6) :

Anika Sheikh (GC)
(2019231053)

Nahiun Nawar Torsa
(2019231034)

Syeda Nushrat Jaha Nasuha
(2019231050)

Supervisor : Mohammad Sadiqunnabi Choudhury, PhD
Professor, Department of Economics

Introduction:

The role of discounts and promotions in shaping consumer buying decisions is a widely researched topic in both academic and real-world contexts. Literature has demonstrated that these marketing tools significantly influence consumer behavior, prompting immediate purchases, brand switching, and higher sales volume. Many studies highlight that discounts and promotions, such as seasonal sales, flash offers, and price reductions, are effective in capturing consumer attention and boosting short-term revenue. Researchers also suggest that factors such as consumer perceptions of value, emotional triggers, and social influences play a vital role in how discounts impact purchasing decisions. However, most of these studies primarily focus on Western or developed markets, with limited attention given to emerging economies where cultural, economic, and social factors significantly differ from those in the West, the impact of promotions might not be the same.

Despite extensive academic work, there are several gaps in understanding how discounts and promotions shape consumer behavior. Firstly, there is limited research on the specific types of discounts and promotional strategies that are most effective among consumers. Secondly, the influence of socio-economic factors such as income, education, and age on responses to promotions is not well understood. Thirdly, while consumer behavior studies focus on the short-term effects of discounts, the long-term implications, such as brand loyalty and customer retention, remain underexplored. Lastly, there is insufficient understanding of the psychological mechanisms at play in this market when consumers encounter promotional offers.

To address these gaps, this research seeks to explore the role of discounts and promotions in shaping consumer buying decisions. This study will employ a mixed-method approach combining qualitative and quantitative data. Surveys will be used to gather consumer insights on how different promotional strategies influence purchasing decisions, while interviews and focus groups will provide deeper insights into the psychological and emotional responses of consumers. Statistical analysis will then be applied to identify patterns and relationships between promotional strategies and consumer behavior, with a focus on socio-economic variables.

Understanding the specific dynamics of how discounts and promotions affect consumer decisions is crucial for both businesses and policymakers. By gaining insights into consumer preferences and behavior, this research will contribute to the development of more effective marketing strategies tailored to the market. Furthermore, it will provide valuable information on how discounts and promotions can be leveraged to enhance economic activity, foster business growth, and improve consumer satisfaction.

The purpose of this study is to explore and analyze how discounts and promotions influence consumer buying decisions in Bangladesh. Specifically, the research seeks to:

1. Understand Consumer Behavior
2. Identify Key Influencing Factors
3. Evaluate the Effectiveness of Promotions
4. Provide Strategic Insights.

Statement of the nature of the Problem:

The research topic, "The Role of Discounts and Promotions in Shaping Consumer Buying Decisions" addresses several key issues related to consumer behavior and market dynamics. The primary problems or issues this research will address include:

1. Impact of Discounts and Promotions on Consumer Decision-Making.
2. Cultural and Socioeconomic Factors.
3. Consumer Perception and Trust.
4. Economic Sensitivity and Budget-Consciousness.
5. Long-Term Impact on Brand Loyalty and Consumer Retention.
6. Effectiveness for Businesses and Market Competitiveness.

This problem is significant and meaningful to economic analysis because consumer buying behavior is a key determinant of demand in the market. Discounts and promotions can distort purchasing patterns, affect consumer perceptions of value, and disrupt competitive pricing structures. Moreover, while promotions may provide short-term sales boosts, their effectiveness in fostering long-term profitability and customer retention is debatable.

The research is particularly interesting because it delves into the psychological and economic factors driving consumer responses to discounts, including the perceived value of deals, price elasticity, and impulsive purchasing tendencies.

Research Question : "How do different types of discounts and promotional strategies influence consumers' long-term brand loyalty and purchasing behavior across different product categories? "

Objective of the Research Proposal :

The objective of this research proposal is to assess the effectiveness of the marketing strategies in increasing consumer engagement, brand loyalty, and sales volume in the market and investigate the psychological and emotional factors that consumers associate with discounts and promotions.

Literature Review:

Discounts and promotions are defined as temporary price reduction or short term incentives given to attract customers. These take various forms such as : coupons, buy-one-get-one-free offers, seasonal sales etc.

Consumers buying behavior is a decision making process. According to (Lamba,2023) product purchase decisions start based on problems (need or want) and recognition that fits their requirements. So, understanding the consumers' mindset and thought process is important.

Demographic variables like age, income or shopping habits influence the response towards discount or promotions. Gender also distinguishes spending behavior. Women are more emotional and easily attracted by advertisement appeal than their male counterparts (Matheos et al., 2017).

Price is another crucial factor in shaping consumers' decision making. From a study of (Dube, Hitsch, & Chintagunta, 2010) consumers' perception value is significantly influenced by the presence of discounts. Discounts increase the amount of purchasing.

The rule of scarcity and loss aversion follows that consumers are motivated by the fear of missing out on a good deal. According to (Cialdini, 2009) when promotions emphasize limited time offers create a sense of urgency which can drive consumers to make quicker purchasing decisions.

Discounts usually increase sales volume. But they may also impact the consumers perception of products quality. Excessive discounts can lead consumers to question the quality of a product, as they associate lower prices with inferior offerings (Chandon, Wansink, and Laurent 2000).

Many studies have shown that younger consumers and those with lower income level are more responsive to price reduction (Yadav & Pathak, 2016). So understanding target market is important for the best use of promotions.

This paper is a combined study of all the agreements and contradictions regarding the effect of discounts and promotions on consumer spending. The goal is to find out to what extent discounts and sales promotions effect consumer behaviour and therefore sales volume.

Research Design:

The study adopts a descriptive research design to investigate the influence of discounts and promotions on consumer buying behavior. Data is gathered through a quantitative, survey-based approach to ensure measurable and structured insights from participants.

Data collection

We will use primary data for this study and a well-structured questionnaire will be designed to know about consumer attitudes, preferences, and behaviors regarding discounts and promotions.

2. Questionnaire Structure:

Section 1: Demographics

Age: What is your age group?

18–24, 25–34, 35–44, 45–54, 55+

Gender: What is your gender?

Male, Female

Income Level: What is your monthly income range?

<25,000, 25,000–50,000, 50,000–75,000, >75,000

Shopping Frequency: How often do you shop for non-essential items?

Weekly, Monthly, Occasionally, Rarely

Section 2: Awareness and Perception

How often do you notice discounts or promotions when shopping?

Always, Frequently, Sometimes, Rarely, Never

What type of discount attracts you the most?

Percentage discounts

Buy-one-get-one-free

Flat rate discounts

Seasonal sales

On a scale of 1–5, how much do discounts influence your decision to purchase?

1,2,3,4,5

Section 3: Buying Behavior

Have you ever purchased a product solely because it was on discount?

Yes, No

Do you tend to buy more than planned during sales or promotions?

Always, Frequently, Sometimes, Rarely, Never

Do you wait for sales to make specific purchases?

Yes, No, Sometimes

Section 4: Effectiveness of Promotions

Explore which promotions are most effective.

Which type of promotion do you find most compelling?

Flash sales

Clearance sales

Loyalty program offers

Free shipping

Have you ever used a discount code or coupon while shopping online?

Yes, No

How likely are you to switch brands if another brand offers a better discount?

Very likely, Somewhat likely, Neutral, Unlikely, Very unlikely

Section 5: Emotional and Psychological Factors

How do discounts make you feel about a purchase?

Satisfied, Excited, Neutral, Pressured, Other

On a scale of 1–5, how often do you experience regret after making a discounted purchase?

1,2,3,4,5

Do you believe discounts always represent good value for money?

Yes, No, Sometimes

Section 6: Open-ended questions

What motivates you the most to shop during a sale or promotion?

Can you share an experience where a discount influenced you to buy something unexpected?

What changes, if any, would you like to see in how brands offer discounts and promotions?

Sampling

Population: Consumers who have engaged in shopping activities involving discounts or promotions.

Sample Size: A minimum of 100 respondents will be surveyed .

4. Data Collection Tools

Survey Tool: The questionnaire will be distributed digitally through Google Forms, email, and social media platforms. Additionally, a paper-based version will be made available for offline respondents.

5. Data Analysis/Method

Quantitative Analysis: The collected data will be analyzed using statistical software like Stata /Excel /E-views/R. Python to. Then, the following steps will be performed:

Calculating frequencies and percentages for categorical data.

Performing cross-tabulations to examine relationships between demographics and preferences.

Using descriptive statistics (mean, median, mode) for scaled responses.

Conducting statistical tests (e.g., chi-square, t-tests) to explore significant differences.

Qualitative Analysis: Open-ended responses (if any) will be analyzed thematically to capture additional insights.

6. Ethical Considerations

Participants' anonymity and confidentiality will be maintained.

Participation is voluntary, and respondents can withdraw at any time.
Consent will be obtained before data collection.

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Group Work Contributions:

Reg No: 2019231053 (Introduction, Statement of the nature of the Problem, Research Question, Objective of the Research Proposal, References)

Reg No: 2019231050 (Literature Review)

Reg No: 2019231034 (Research Design)